

INVESTMENT MEMO

Telecom API Monetization

Carriers have spent 30 years building the most powerful infrastructure layer in technology. Most of it has never been accessible to developers. This is now changing, and the value will not be to the carriers.

Joseph Raphael | Tulane University | March 2026

The Thesis

Network APIs expose core capabilities in carriers through programmable interfaces. They unlock access to real-time SIM swap status, identity verification, location, and network quality controls. Historically developers could not access these capabilities because each carrier had their own interface. The GSMA Open Gateway, launched and now covering 80% of global mobile connections, created that standard. One developer can now reach most of the world’s mobile network subscribers. No independent developer platform has been built to aggregate these capabilities across carriers. The companies that will capture the most value from this shift have either just been founded or do not exist yet. That is the gap.

I. Market Definition

Network APIs expose low-level carrier capabilities directly to developers through standardized endpoints. They have exposure to raw carrier capabilities: SIM swap status, device location, network quality controls, device connectivity status and number verification. Unlike CPaaS (which handles sending texts or calls), network APIs expose carrier state and network controls.

The suppliers are the network companies, and the demand comes from developers: fintechs and neobanks (fraud prevention), ride-share and logistics (location and connectivity), gaming and streaming (quality of service).

The immediate use cases are fraud and identity. But the larger opportunity is what comes after. As AI agents, autonomous systems and connected devices become more prevalent, the world needs a connectivity layer that is instant. Network APIs are the layer. Whether it is a driverless car needing guaranteed low latency, wearable device needing real time location or an AI agent needing to complete a financial transaction, they all need to have an ensured quality of network. Network APIs are the only infrastructure that can do this because they are integrated into the actual network.

\$8B-\$31B Projected network API revenue by 2030	80% Global mobile connections on Open Gateway	86 Operator groups signed as of 2026	\$20B-\$40B Synthetic identity fraud in 2025
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II. Why It Is Growing, and Why Now

The opportunity emerged due to a structural industry shift: the GSMA Open Gateway initiative launched at the Mobile World Congress. Within one year more than 40 operator groups joined the initiative, a number that has since grown to 86, including AT&T, Vodafone, Telefónica. The standard is implemented through a project called CAMARA, an open source project writing the underlying code. Before this every carrier had their own interfaces. Developers required separate negotiations and integrations for each

network carrier. After Open Gateway: one API spec, one integration reaches the majority of subscribers. SIM card fraud has been one of the demand signals. The UK's fraud prevention organization Cifas reported a 1,055% increase in unauthorized SIM swaps, with nearly 3,000 cases filed in 2024 compared with 289 the year before.

With AI becoming increasingly prevalent the financial services industry has been demanding a reliable network-level fraud signal. Open Gateway is the first time these network signals are available at global scale.

The longer-term demand driver is AI systems and connected devices. SMS-based authentication is outdated. Regulators are beginning to mandate alternatives. Network-level verification, where the carrier silently confirms the device, SIM, and number all match without any user action, is the only replacement.

III. Why It Has Been Overlooked

The overlooked point here is structural, the infrastructure has been built. The real question is where the value will actually end up. Based on previous technology shifts, it usually does not go to the companies building the infrastructure. Telecom carriers built almost all of the physical internet but captured very little of the value. The same pattern is likely to happen again. Most of the value will go to companies that build the aggregation layer and the applications that sit on top of the network.

Network APIs flip the traditional telecom value chain. Carriers are the supply side. Developers and enterprises are the demand side. The opportunity is building the middle layer that sits between carriers and the developer ecosystem, similar to how Stripe sits between banks and developers, or Twilio sits between carriers and application builders. The opportunity is massive, but it has not yet attracted serious investments, which is why it is interesting.

IV. Existing Players

Company	What They Prove	Gap That Remains
Twilio	Developers will pay for usage-based telecom APIs at a massive scale, and the developer ecosystem forms a platform advantage.	No exposure to raw network capabilities like SIM-swap, device status, or quality-of-service controls.
Vonage / Ericsson	Carriers are willing to let a 3 rd party sell access to their more advanced network features; there is a commercial on the supply side.	Ericsson prioritizes operators over developers, creating a conflict of interest. They are just bolting APIs onto old infrastructure. The real winners will build around network intelligence from the start.
BOKU	You can build a real global business on carrier billing APIs alone. Bridging the gap on the platform.	Billing is such a narrow use case, it does not touch fraud signals, device status, location or any other network capabilities.
Sinch	APIs are enduring infrastructure with recurring high-volume usage.	It only sits on the messaging and voice layer similar to Twilio, it does not build on the network capabilities across multiple carriers.
Aduna	The independent aggregator model is already being attempted, there is founder conviction that the Open Gateway opportunity is real.	Ericsson and carrier co-ownership creates a structural conflict. Developers have no seat at the table. The independent, developer-first company this market needs does not exist yet.

V. Where Real Value Is Created

Value creation in this market has 3 different layers: aggregation, data, and vertical products.

Aggregation: a single developer integration that reaches all Open Gateway carriers. Developers should not need a separate integration for each carrier; they should call one API. This layer would mean that reliability, coverage and pricing transparency would be successful. Not being tied to a single carrier is an advantage because developers do want their critical infrastructure dependent on a single operator.

Data: cross-carrier fraud and risk scores, monetized via higher margin analytics products. It has information of fraud patterns, SIM activity, device behavior, and usage anomalies. A fraud signal derived from these patterns observed across all of the networks is so much more powerful than a signal from one carrier. This layer powers fraud and anomaly detection that can communicate with developers. The underlying network data exists but has not yet been aggregated or analyzed across carriers.

Vertical applications: once the data layer achieves depth, the platform can launch vertical products. The companies that are worth watching are those building invisible authenticating replacing SMS OTP, insurance products that use real network location data, fraud tools for smaller companies, and connectivity infrastructure for AI agents that need guaranteed performance. None of these are being funded at valuations that reflect given how large they could get.

VI. What a Venture-Backable Winner Looks Like

The company that will win here is not a telecom company. It looks more like a developer tools startup that happens to sit on top of telecom infrastructure.

It starts with fraud and identity because that is where the problem is most obvious and the sales cycles is the shortest. But fraud is just the way in. The actual goal is for a company to become the default way any developer accesses network capabilities; the same way Stripe became the default way any developer handles payments.

What makes this position so hard to take away once you have it is coverage and switching costs. Once enough developers are building on your platform, new developers just use whatever everyone else is already using. The integration cost of leaving gets too high.

The window is open right now for a specific reason. Open Gateway created the standard. Aduna has the carrier relationships. But neither of these are the independent developer-first company this market needs. Vonage cannot be neutral while sitting inside Ericsson. Twilio is not going to rebuild itself around raw network capabilities. That gap is real and it will not stay open forever.

The companies that probably make the most from this is not the aggregator. They are the fraud, identity, insurance, and AI infrastructure businesses that get built once the underlying platform exists at scale. Network API revenues are projected between \$8 billion and \$31 billion by 2030. That does not include everything built on top. The carriers are very unlikely to capture this value. Someone else will.